

[Lahore High Court (Multan Bench)]

Before Jawad Hassan and Muzamil Akhtar Shabir, JJ

COLLECTOR OF CUSTOMS, MULTAN

Versus

CUSTOMS APPELLATE TRIBUNAL, LAHORE and 3 others

Customs Reference No.19 of 2019, decided on 12th February, 2020.

Customs Act (IV of 1969)---

---Ss.168 & 196---Seizure of things liable to confiscation---Findings of fact---Scope---Department intercepted a vehicle on the suspicion that it was smuggled and duty and taxes leviable thereon were not paid---Adjudicating authority confiscated the vehicle vide order-in-original and appeal filed against the same was dismissed---Appellate Tribunal allowed the appeal on the ground that the respondent had not claimed the said vehicle to be registered with concerned Motor Registration Authority, which Authority had refused to recognize the vehicle as registered rather the vehicle was registered with Motor Registration Authority at another District which Authority had not only confirmed the registration number but had also confirmed the genuineness of the registration and identity of the vehicle---High Court observed that such being findings of facts did not give rise to any question of law---Reference was dismissed.

Caretas v. Collector Sales Tax and Federal Excise and others 2013 PTD 1536; Wak Limited Lahore v. Customs, Central Excise and Sales Tax Appellate Tribunal and 2 others 2018 PTD 253; Messrs Ittehad Textile Industries (Pvt.) Ltd. v. Collector of Sales Tax, Collectorate of Sales Tax and Central Excise, Faisalabad and 2 others 2007 PTD 663; Collector of Customs Karachi and others v. Messrs Haji Ismail Co. and others 2015 SCMR 1383 = 2015 PTD 2642 and Messrs Khan and Co. Bisham v. Deputy Commissioner-IR (Audit-IX), Zone-III, R.T.O. Peshawar and another 2015 PTD 796 ref.

Agha Muhammad Akmal Khan and Tariq Manzoor Sial for Applicant.

Kh. Adnan Ahmad and Tariq Siddiquee for Respondents.

ORDER

Through this Customs Reference filed under Section 196 of the Customs Act, 1969 ("Act"), the applicant has challenged the judgment dated 18.02.2019 passed by the Customs Appellate Tribunal Bench-II, Lahore, ("Appellate Tribunal") whereby the appeal filed by respondent No.4 ("respondent") was allowed and the order-in-original of confiscation of vehicle by treating the same as a smuggled vehicle and dismissal of respondent's appeal against the same were set-aside.

2. The following question of law has been framed for our opinion:

Whether the learned Appellate Tribunal was justified to allow unconditional release of a vehicle registered against fake and forged document and was brought into the country without payment of leviable duty and taxes and is termed as smuggled one in terms of section 2(s) of the Customs Act, 1969 read with SRO 566(I)/2005 dated 06.06.2005?

3. Learned counsel for the applicant states that the order of the Appellate Tribunal for releasing the smuggled vehicle is not sustainable in the eye of law and is liable to be set-aside.

4. Conversely, learned counsel for the respondents has defended the impugned judgment.

5. Heard. Record perused.

6. It appears that on 28.05.2011 after specific information, the staff of ASO, MCC, Multan intercepted Toyota Hiace Van bearing Registration No.G-0291/Sindh on suspicion that the said vehicle was smuggled one and duty and taxes leviable thereon had not been paid. It transpired from the Motor Registration Authority, Karachi that a Toyota Crown Car, having Chassis Number MS 122-002213 and Engine No.2L-2357880 (2800-cc), owned by Shah Jahan son of Amanullah, resident of Landhi, Karachi was registered against registration mark "G-0291/Sindh". On query, Driver of the said vehicle had stated that he purchased the said vehicle from Vehari and previous owner of the same could better explain the status of legality of the vehicle. The adjudicating proceedings culminated into passing of order-in-original, whereby the said vehicle was held to be "smuggled one" and outright confiscation was ordered, which order was challenged before Collector Customs (Appeals) who dismissed the appeal by upholding the order-in-original. Being aggrieved of the said order, respondent preferred an appeal before the Appellate Tribunal, which was accepted vide impugned judgment which is under challenge by filing instant reference.

7. The authority that confiscated the vehicle and the appellate authority that dismissed the respondent's appeal against the same had proceeded on the pretext that Motor Registration Authority, Karachi had mentioned that the afore referred vehicle was not registered at Karachi and the vehicle registered against registration mark G-0291/Sindh" was a Hiace Van whereas the learned Appellate Tribunal has set-aside the afore referred findings on the basis that respondent had not claimed the said vehicle to be registered with Motor Registration Authority at Karachi, which authority had refused to recognize the said vehicle as registered with it rather the Appellate Tribunal observed that the said vehicle has been registered with Motor Registration Authority, Shikarpur which authority not only confirmed registration number but also the solid basis thereof and confirmed the genuineness of the registration and identity of the said vehicle. Thus from the aforesaid observation, the vehicle was not found to be registered against fake and forged documents and brought to the country without payment of leviable duty and taxes to be termed as a smuggled vehicle.

8. It is not the case of the department that the said vehicle is not registered with Motor Registration Authority, Shikarpur. It has also been observed by the Appellate Tribunal that verification of clearance documents should have been done before issuance of show-cause notice to the respondent and by not following the said procedure valuable piece of evidence was not confronted to the respondent and, therefore, could not be made basis of show-cause notice or that of adjudication order, consequently, the respondent could not be deprived of his property and the Appellate Tribunal proceeded on to accept appeal by directing the applicant department to return the vehicle to respondent.

9. The afore referred findings are findings of facts and do not give rise to any question of law, especially question referred to us for our opinion. In cases where matter only relates to decision of questions of fact and does not involve any question of law, this Court does not exercise its jurisdiction to enter into the factual inquiry. Reliance in this regard is placed on the judgments reported as Caretes v. Collector Sales Tax and Federal Excise and others (2013 PTD 1536), Wak Limited Lahore v. Customs, Central Excise and Sales Tax Appellate Tribunal and 2 others 2018 PTD 253, Messrs Ittehad Textile Industries (Pvt.) Ltd. v. Collector of Sales Tax, Collectorate of Sales Tax and Central Excise, Faisalabad and 2 others (2007 PTD 663), Collector of Customs Karachi and others v. Messrs Haji Ismail Co. and others (2015 SCMR 1383 = 2015 PTD 2642) and Messrs Khan and Co. Bisham v. Deputy Commissioner-IR (Audit-IX), Zone-III, R.T.O. Peshawar and another (2015 PTD 796).

10. For what has been discussed above, we are not inclined to answer the question referred to us in the given circumstances of the case. This reference is accordingly dismissed being devoid of any force.

11. Office shall send a copy of this order under seal of the Court to learned Appellate Tribunal as per section 196(5) of the Act.

SA/C-36/L Reference dismissed.